Ordinary vs Special Resolution

count the votes, not the members!

Statutory Compliance

In simple words *Ordinary needs more votes for than against. Special needs for-votes at least three times the against-votes.*

1 Ordinary Resolution

Passed when votes cast in favour are more than votes cast against, by members voting in person, by proxy or electronically.

Simple majority of votes cast

2 Special Resolution

Passed when votes in favour are at least three times the votes against, and the notice states the intention to propose it as special.

Think 3 : 1 at least

1. Only votes actually cast are counted; abstentions and absentees are ignored
2. Special resolution majority is 3 times the votes against, not 75% of all members
3. Matters of routine business usually need an ordinary resolution
4. Fundamental changes, like altering the articles, need a special resolution



Swipe for the summary →

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The Comparison Table

Ordinary vs Special Resolution

same meeting, different majority

Point	Ordinary	Special
Votes needed	For is more than against	For is at least 3 times against
Notice	Normal notice of meeting	Must state intent to propose as special
Typical matter	Declaring dividend on recommendation	Altering articles of association

Compare For with Against only! Both majorities are measured on votes cast, so non-voters never change the result.

Swipe for a memory trick →

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Study Trick

Ordinary vs Special Resolution

O = Over, S = Same times three

Ordinary: One more. Special: Thrice

Ordinary needs just one more vote for than against. Special needs for-votes to be three times against-votes.

How to attempt it

1 Read the matter to be decided → 2 Check the Act: ordinary or special? →

3 Count votes cast for and against →

4 Apply: For > Against, or For ≥ 3 × Against → 5 State the result clearly

Exam Tip

In MCQs, if the option says majority of members present or on roll, it is wrong. The test is votes cast.

Doubt Buster

Are abstaining members counted as against? No. Abstaining members do not cast a vote, so they are in neither the for nor the against count.

Swipe for common mistakes →

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COMMON MISTAKES

Ordinary vs Special Resolution

three-fourths trap ahead!

✗ Special resolution needs 75% of all members on the register

✓ For-votes must be at least three times the against-votes, counted among votes cast.

✗ Ordinary resolution needs more than 50% of total members

✓ It needs only more votes for than against among votes cast.

✗ Abstention is treated as a vote against

✓ Abstention is not a vote; it is left out of both counts.

✗ Notice need not mention that a resolution is special

✓ The notice must state the intention to propose the resolution as a special resolution.

TOMORROW'S CMA CAT MCQ TESTS THIS! Revise it tonight, then try the MCQ.

Save this for revision!

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